

[CONFIDENTIAL]

Compliance Investigation — Vendor Expense Irregularities 2026

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This document summarises the findings of an internal compliance investigation into vendor expense irregularities flagged during the Q1 2026 internal audit (Finding A05). Two purchase orders totalling \$14 200 lacked required dual-approval documentation. Investigation confirms the expenses were legitimate business purchases but processed in violation of the company's procurement policy. No fraud or misappropriation found.

1. Scope & Findings

The investigation covered 847 vendor transactions from January–March 2026. Two transactions were flagged: (a) \$8 400 software license (Weights & Biases Teams) approved by a single approver; (b) \$5 800 cloud GPU credits (Lambda Labs) charged to a personal card and expensed without prior PO. Both purchases are directly attributable to Project Atlas development.

2. Policy Violations

- Procurement Policy §4.2: purchases > \$5 000 require dual approval (manager + Finance).
- Expense Policy §7.1: pre-approval required for all software SaaS > \$1 000/year.
- Expense Policy §7.3: personal card charges > \$2 000 require CFO sign-off.

3. Remediation

Retroactive dual approvals have been obtained for both transactions. The purchasing engineer has completed a mandatory procurement policy refresher. Finance is implementing an automated procurement gate in the expense management system (Ramp) to enforce dual-approval at point of purchase for all transactions > \$3 000. Deployment target: 2026-05-15.